

Revenue Recognition & Sales Policy

Policy ID: FIN-REV-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Finance Controller

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Establish consistent controls for recording, reviewing, and reporting customer revenue, including discounts, cancellations, returns, taxes, shipping, and period cut-off.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Scope

- Applies to customer orders, invoices, sales adjustments, discounts, cancellations, returns, credits, and revenue reporting.
- Applies to Finance, Sales, Operations, Customer Service, and system administrators involved in order-to-cash processes.

2. Core principles

- Revenue is recognized based on the substance of the customer arrangement and when the promised goods or services are transferred, not merely when cash is received.
- Transaction records must be complete, accurate, supported, and recorded in the correct reporting period.
- Taxes collected on behalf of governments and amounts that do not represent revenue must be separately identified where applicable.
- Returns, cancellations, rebates, and credits must be reflected consistently with the underlying transaction and accounting policy.

3. Revenue components

Merchandise revenue. For analytics, net merchandise value may be calculated as $\text{Unit Price} \times \text{Quantity} \times (1 - \text{Discount})$, provided the dataset definitions support that formula.

Gross order amount. Amounts including tax, shipping, and other charges must not automatically be treated as merchandise revenue.

Discounts. Discounts must be recorded separately from list price and linked to the originating order.

Taxes. Tax amounts should be separately identified where the business is collecting tax on behalf of a taxing authority.

Shipping. Shipping revenue and shipping cost must be distinguished; shipping cost is not a proxy for total product cost.

4. Discount approval matrix

0%–10%. Standard business approval; system validation required.

10.01%–20%. Department manager approval required for non-standard discounts.

20.01%–30%. Finance approval plus documented business justification required.

>30%. Finance Director/CFO approval and documented commercial justification required.

Repeated threshold breaches. Investigate by customer, product, salesperson, location, and period.

5. Cut-off and period close

- Orders must be reviewed for delivery/transfer status near month-end and year-end.
- Manual revenue adjustments require supporting documentation, preparer identification, reviewer approval, and audit trail.
- Late adjustments must identify the accounting period affected and reason for change.

6. Returns and cancellations

- Returned or cancelled orders must be identified and processed according to the applicable return/credit procedure.
- Where source data lacks refund or reversal fields, analytics must not assume that returned/cancelled transactions have been economically reversed.
- Management reports must disclose this limitation when relevant.

7. Controls

- Segregate order creation, price/discount approval, refund approval, and financial posting where practicable.
- Reconcile order-level records to invoicing and the general ledger at defined intervals.
- Investigate duplicate orders, unusual discounts, manual overrides, and unusual period-end activity.

8. Exceptions & escalation

- Any suspected material misstatement, control override, or unexplained revenue movement must be escalated to the Finance Controller.
- Exceptions must include transaction IDs, amount, date, owner, reason, and resolution status.

9. RAG retrieval anchors

- Policy ID FIN-REV-001
- Discount approval
- Revenue recognition
- Period cut-off
- Returns and cancellations
- Manual revenue adjustment
- Shipping versus revenue
- Tax treatment